



Generative AI Transformation Initiative

Cable Dahmer Automotive Group — Strategic Growth Report

Cable Dahmer at a Glance

60+

Years in Market

Kansas City metro

9

Dealership Locations

MO & KS markets

\$240M

Est. Annual Revenue

FY2024

500

Employees

Across 9 locations

28.79%

YoY Growth

Under CEO Ledezma

\$4.7B

Transaction Volume

2023

9 OEM franchises: Chevrolet, GMC, Buick, Cadillac, Kia, Chrysler, Dodge, Jeep, Ram — CARFAX 2025 Top-Rated Lifetime Dealer

The Strategic Imperative

The Threat

- 80% of automotive leads now digital
- Competitors achieving 27% higher appointment rates via AI
- National consolidators investing heavily in automation
- Widening technology gap during critical growth phase

The Opportunity

- Target: 15–20 dealership expansion
- AI enables non-linear scaling — no proportional headcount growth
- First-mover advantage in Kansas City market
- Preserve family-owned culture while achieving institutional excellence

AI adoption is not optional — it is a **competitive survival requirement**.

Quantified EBITDA Uplift

SG&A Cost Reduction

\$3.3M – \$4.8M annually

1.4–2.0% of revenue

Sales Productivity

\$1.8M – \$3.0M uplift

37% lead conversion increase

Service Efficiency

\$1.2M – \$1.8M impact

25% advisor productivity gain

Turnover Reduction

\$800K – \$1.2M savings

67% sales / 25% service turnover

\$9.9M

Total Annual Impact

Steady-state (Year 2–3)

29%

EBITDA Uplift

6–8% → 9.2–12% margins

594%

3-Year Net ROI

On AI investments

CURRENT LANDSCAPE

Industry Pressures & Competitive Gap

Industry Headwinds

- Net profit margins: **3% industry average**
- SG&A: 70–75% of gross profit
- Sales turnover: **67% annually** – \$1.0–1.2M cost
- Consumer expects response in **<5 minutes**

Competitor Benchmarks

- **CarMax:** \$150M SG&A reduction target, 30% chatbot containment
- **Group 1:** SG&A reduced 75.6% → 67.4% of GP
- **Johnson Honda:** 47% more units sold via AI chatbots
- **Cable Dahmer:** No disclosed AI initiatives as of Feb 2025



AI Applications Across SG&A Functions



Finance & Accounting

Automated invoice processing, AI financial reporting, cash flow forecasting

Savings: \$240K–\$400K/yr



HR & Talent

AI recruiting chatbot, intelligent onboarding, retention analytics

Savings: \$530K–\$860K/yr



Sales & Marketing

24/7 lead qualification, automated proposals, content generation

Impact: \$1.8M–\$3.0M/yr



Customer Service / BDC

AI scheduling, predictive maintenance outreach, after-hours capture

Impact: \$1.2M–\$1.8M/yr



Legal & Compliance

Contract review, F&I document automation, regulatory monitoring

Savings: \$80K–\$160K/yr

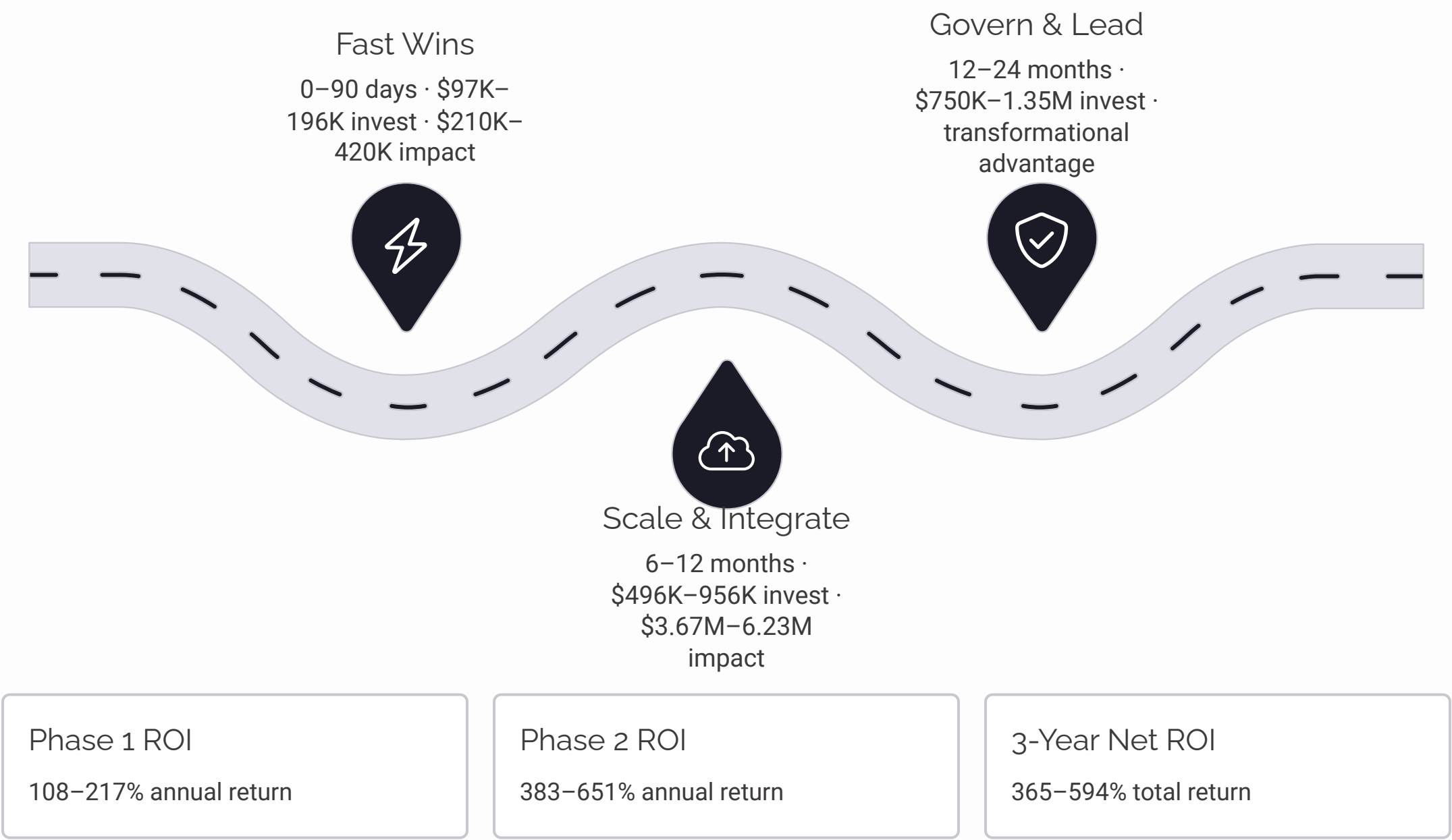


IT & Administration

Help desk automation, data entry AI, cybersecurity monitoring

Savings: \$360K–\$540K/yr

Three-Phase Transformation Roadmap



Fast Win Initiatives

01

AI Executive Immersion Training

Full leadership team workshop – AI fundamentals, live demos, governance framework. **\$15K–25K**

02

AI Chatbot Pilot (2 Locations)

24/7 lead qualification & appointment scheduling on website + Facebook. **\$24K–50K → \$150K–300K impact**

03

AP Automation Quick Win

AI invoice processing, 3-way matching, automated approvals. **\$27K–60K → \$20K–40K savings**

04

HR Recruiting & Knowledge Chatbot

Candidate screening, employee HR self-service. **\$26K–51K → \$40K–80K savings**

05

AI Use Policy & Governance

Acceptable use policy, vendor criteria, AI Steering Committee charter. **\$5K–10K**

Risk Mitigation Framework

Low Adoption

CEO sponsorship, mandatory training, manager bonuses tied to AI adoption metrics

Data Security

SOC 2 / ISO 27001 vendors only, AI Use Policy enforcement, data anonymization protocols

AI Hallucinations

Strict chatbot guardrails, human-in-the-loop for high-stakes interactions, weekly transcript review

Poor Integration

Integration-first vendor selection, dedicated solution architect, Phase 1 pilot validation

Employee Displacement

"Augmentation, not replacement" — AI funds expansion, creating net new jobs; attrition-based optimization

Regulatory Risk

External automotive compliance counsel reviews all F&I AI; human final authority on credit decisions

The Call to Action

"We will scale to 15–20 dealerships not through incremental headcount growth, but through **exponential capability growth powered by generative AI** – while maintaining the trust and community commitment of a family-owned business."

Weeks 1–2

Executive review, board approval, appoint AI Steering Committee

Weeks 3–4

Issue RFPs for chatbot, AP automation, HR chatbot; draft AI Use Policy

Weeks 5–8

Select vendors, launch pilots at 2 locations, begin executive training

Weeks 9–12

Review ROI, go/no-go on Phase 2, communicate wins to organization

❏ **Investment: \$1.34–2.5M over 24 months → \$6.1–9.9M annual steady-state value. The cost of delay is measured in millions annually.**

❏ Need more info? Contact **Dani@ChiefAIOfficer.com**

